Pinebrook Advisory Group LLC

www.pinebrookadvisory.com

March 26, 2021

Christopher Cole
General Manager
Reeves, Miller and Thompson

Dear Mr. Cole:

We will support Reeves, Miller and Thompson through the integration of the business you have acquired, from the operating baseline to the cutover of the combined back office, for a fixed fee of $99,500, and we will begin on April 5, 2021. This letter sets out what we will do, who will do it, what it costs, and the terms we both work under. If any part of it differs from what we discussed at your office, say so before you sign it rather than after.

Scope of Work

The engagement covers four things. First, a current-state baseline of how each business actually takes an order, schedules it, delivers it, and bills it, described as the work is performed rather than as the procedures say it is performed. Second, a map of the combined organization role by role, showing where two people now hold one job, where one person now holds two, and where a function exists on one side and nowhere on the other. Third, a single decision on systems and data, which will not necessarily be convergence, together with the sequence and the cutover plan that the decision requires. Fourth, a review of the customers both businesses serve, identifying where the commercial terms differ and what it would take to bring them together without giving anything away in the process.

There is a fifth thing we will not do, and I would sooner state it here than have it emerge in the fourth month. We will not make the integration decisions. We will frame them, cost them, put a recommendation against each one, and tell you plainly when we think you are about to make a mistake, but the decisions belong to the person who has to live with the result. Nor will we act as interim management, because a consultant who takes line responsibility for part of a business cannot afterwards be trusted to assess how that part is running.

Approach

The method is unglamorous and it starts on the floor rather than in the data room. Robert Miller will spend his first weeks inside both operations watching the work, because the reporting a business produces about itself describes what that business intends to do, and integration failures live in the gap between the intention and the practice. Everything we see then feeds one integration plan with one decision log behind it, and each entry in that log carries an owner and the date by which an answer is needed, because the common failure in work of this kind is not a wrong decision but a decision nobody knew they were waiting on.

The Team

Jennifer Fletcher, Senior Consultant, will lead the engagement day to day and is your point of contact for anything of substance. She has carried most of the integration work this firm has done, and she will tell you early and without decoration when the thing you have asked for is not the thing you need. When she does, she is usually right, and the cheapest moment to hear it is the first time she says it.

Robert Miller, Principal Consultant, owns the operating baseline and the systems and data workstream. He is patient inside an operation and skeptical of any conclusion he cannot trace back to something he watched happen, and he will spend longer with your dispatchers and your billing clerks than you expect him to.

Cynthia Ball, Analyst, will run the interview programme, build the exhibits, and keep the decision log current. She is the one your people will find it easiest to talk to, which matters more on an integration than on any other work we do.

I will not run the engagement day to day. I do read everything that leaves this firm before it reaches you, which is why my signature is on this letter, and I am reachable directly if the work is not going the way you expect. If you ever have that concern, telephone me and do not wait for the next scheduled report.

Fees and Payment

Our fee for the engagement is $99,500, fixed at the outset, covering the whole of the scope described above and every hour our people spend on it. We quote fixed fees so that you are never charged for a telephone call, and so that neither of us has a financial interest in how long the work takes. The fee is billed monthly in equal installments across the term. Documented out-of-pocket expenses, meaning travel between your two sites and any external data we buy at your written request, are billed at cost as incurred and itemized on each invoice. Invoices are payable within thirty days of receipt. Work outside the scope above is not covered by this fee, and we will not begin any such work without your written instruction and a price agreed in advance.

Term and Termination

The engagement commences on April 5, 2021 and is planned to run approximately seven months, which is the period we have costed and staffed. Either of us may terminate on thirty days' written notice. If you terminate, you owe the installments falling due to the termination date together with expenses incurred to that point, and nothing further. If we terminate, which we would do only if the engagement had become one we could not honestly complete, we will refund any installment paid for work not performed. In either case we hand over the baseline, the plan, the decision log, and the working papers as they stand, because you have paid for them and they are of no use in our files.

Confidentiality

We will treat everything we see inside either business as confidential and will use it only for this engagement. Our people are bound to that in their terms of employment, and we ask the same of you with respect to our methods, our exhibits, and our working papers. One point deserves stating plainly, because it determines the quality of what you get. Our interviews work only where the people we interview believe that what they say will not be attributed to them. We will report to you what we learn and we will not report who told us, including where you ask. If that is unacceptable to you, it is better settled now than discovered in the third month.

Limitation of Liability

We will perform this engagement with the care and skill customary in our profession, and we do not guarantee an outcome, because the decisions that determine the outcome are yours and the execution is your organization's. We rely on the financial, operational, and customer information that you and the acquired business provide, and we test it for reasonableness rather than audit it. Our aggregate liability under this engagement, on any theory, is limited to the fees actually paid to us under it, and neither of us is liable to the other for consequential, indirect, or lost-profit damages. Nothing in this paragraph limits our liability for our own fraud or willful misconduct.

Governing Law

This letter is the entire agreement between us on this engagement and supersedes anything said or written before it. It is governed by the law of the state in which this firm maintains its principal office, without regard to its conflict-of-laws rules, and any dispute we cannot settle between ourselves goes to the courts sitting in that state, to whose jurisdiction we each consent. Amendments are effective only in writing signed by both of us.

Acceptance

If this letter reflects our agreement, please sign both copies and return one to my attention. Jennifer Fletcher will telephone you within the week to fix the kickoff session and the first block of interviews, and I would ask that whoever runs operations on the acquired side sits in that session rather than being briefed on it afterwards. An integration that the acquired management first hears about secondhand begins with a deficit it spends the rest of its life repaying.

This is a straightforward integration if it is sequenced properly, and I expect it to go well. We are glad of the work and we will earn it.

Very truly yours,

Daniel Jones
Managing Partner
Date: March 26, 2021

Christopher Cole
General Manager, Reeves, Miller and Thompson
Date: March 26, 2021